ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 10 - BOND TRADING - SPLIT SESSION RULES

ICT Monthly Mentorship

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Welcome to another discussion on commodities. This lesson, part of the 2017 June content, specifically refers to a paper trade only.

This is ICT Mentorship Month 10, ICT Bond Trading Lesson Number Two, focusing on Split Session Rules.

T-BOND SPLIT SESSION RULES: GENERAL CONSIDERATIONS

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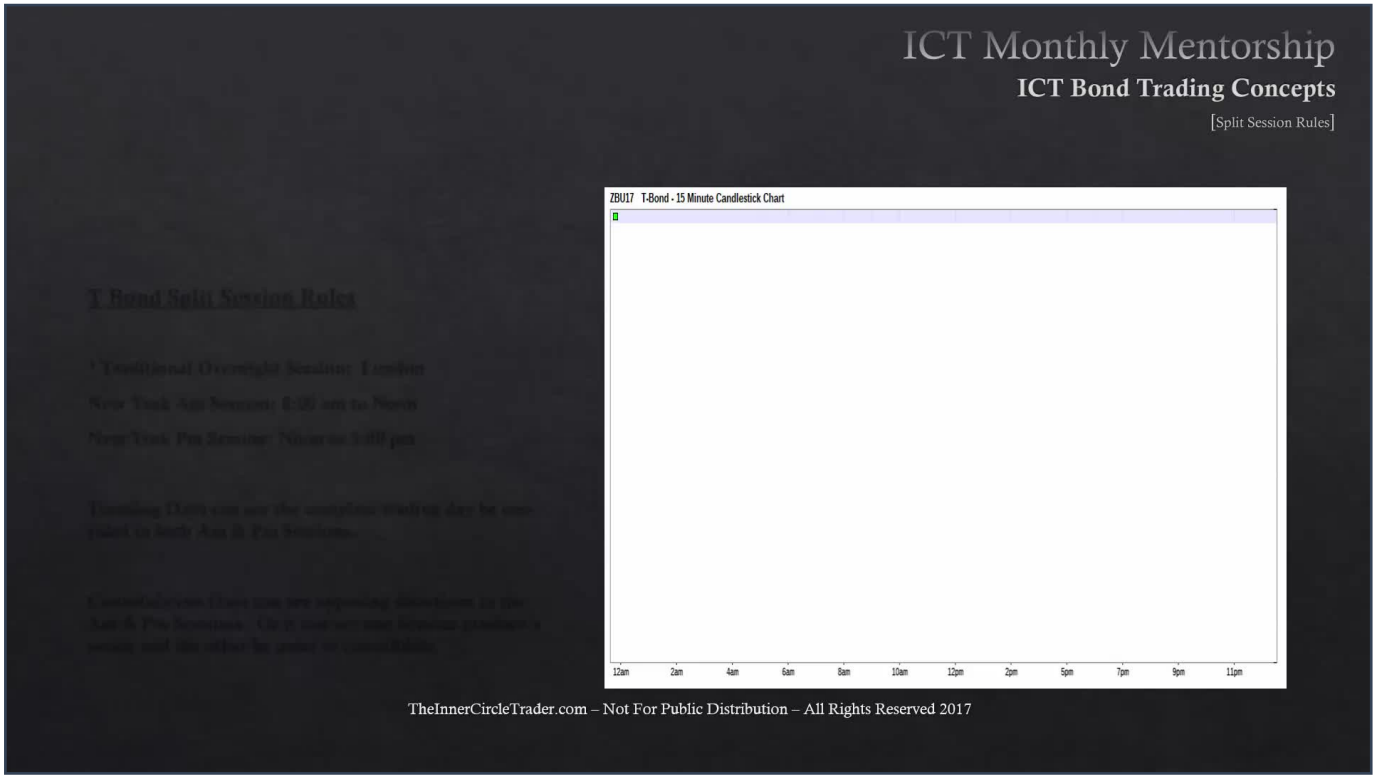

Most participants in this mentorship are here to learn my concepts for Forex. While there are specific time of day references for Forex, commodities, specifically the bond market, have unique time of day elements as well.

I will teach you how I interpret price action for my analysis of the bond market. There are some similarities to Forex, but also slight deviations in time of day studies for commodities compared to what you normally expect in the Foreign Exchange Market. There is a smaller overlap and then a small deviation for what we would normally expect from time of day.

Traditionally, overnight sessions will have an impact, which is seen as the London session.

Key New York Sessions:

- New York AM Session: Defined by 8 AM New York time to Noon New York time.

- New York PM Session: Defined by Noon New York time to 3 PM New York time.

While we are generally familiar with the New York Open Kill Zone and London Close Kill Zone in Forex, and the daily range can trade as late as 2 PM, we are going to define it in two distinct sessions for bonds.

PRIMARY FOCUS: NEW YORK SESSION FOR BOND ANALYSIS

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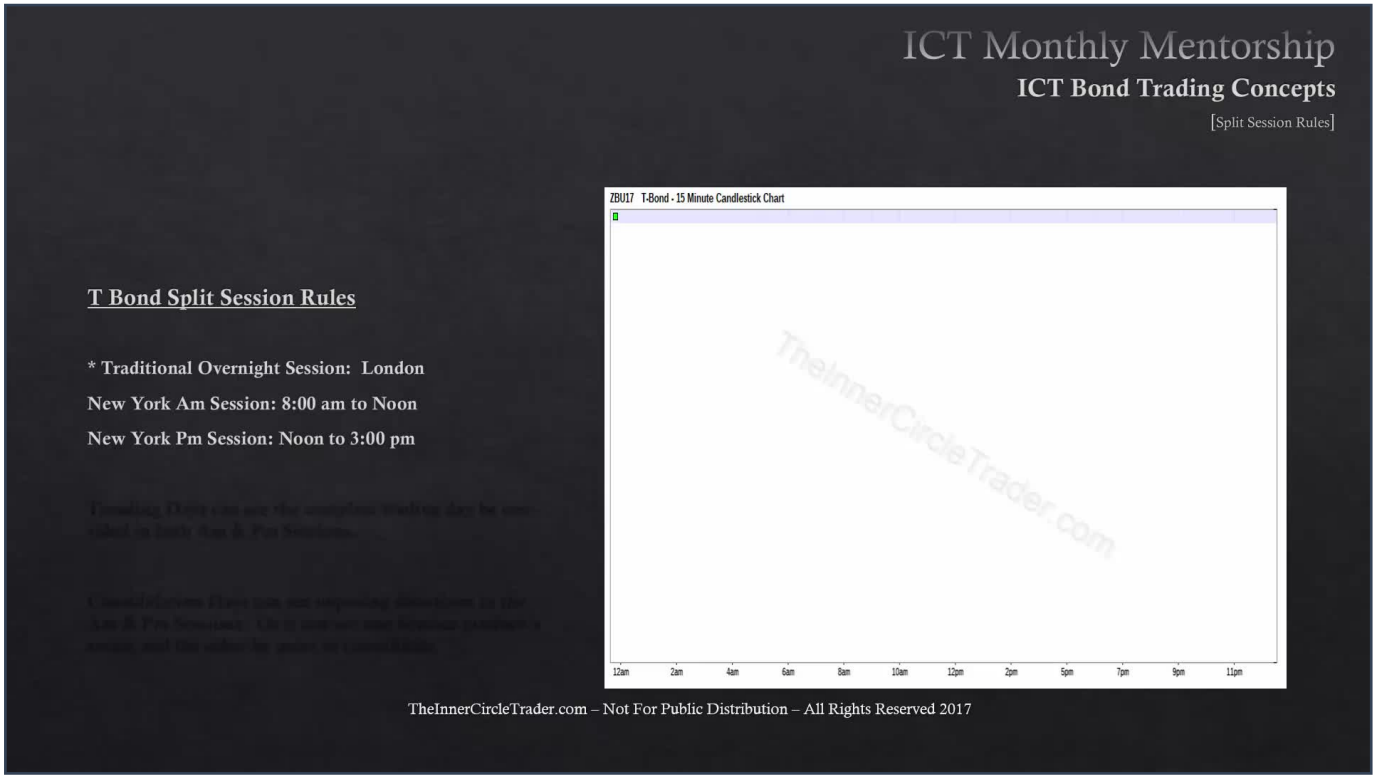


The analysis concepts taught here should be focused primarily on the New York session hours. If you become a dedicated bond trader, you can also trade overnight or during the London session for the ZB (30-year treasury bond), using similar concepts to the London open.

However, I counsel you to use the information from overnight trading during the London session to look for:

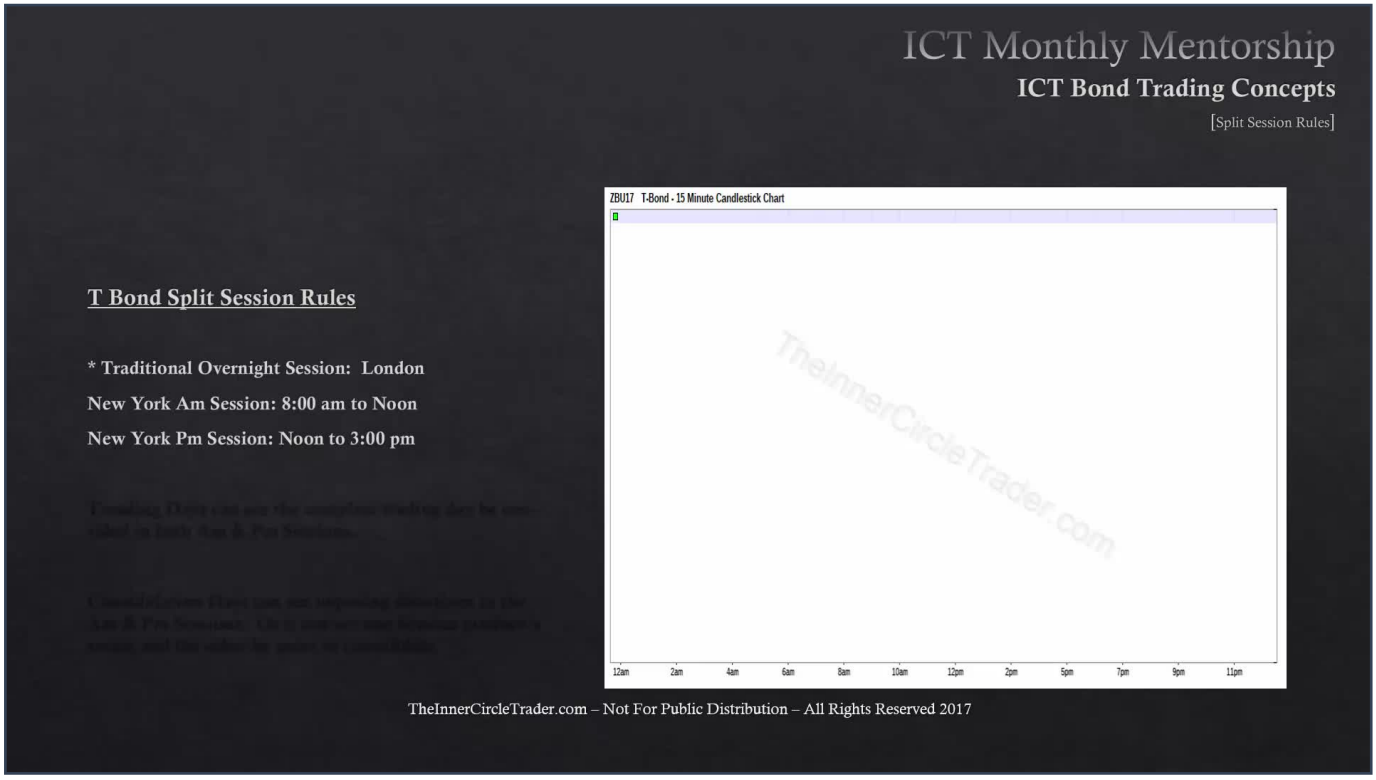
- Stops

- Liquidity voids

- Fair value gaps

- Other PD arrays

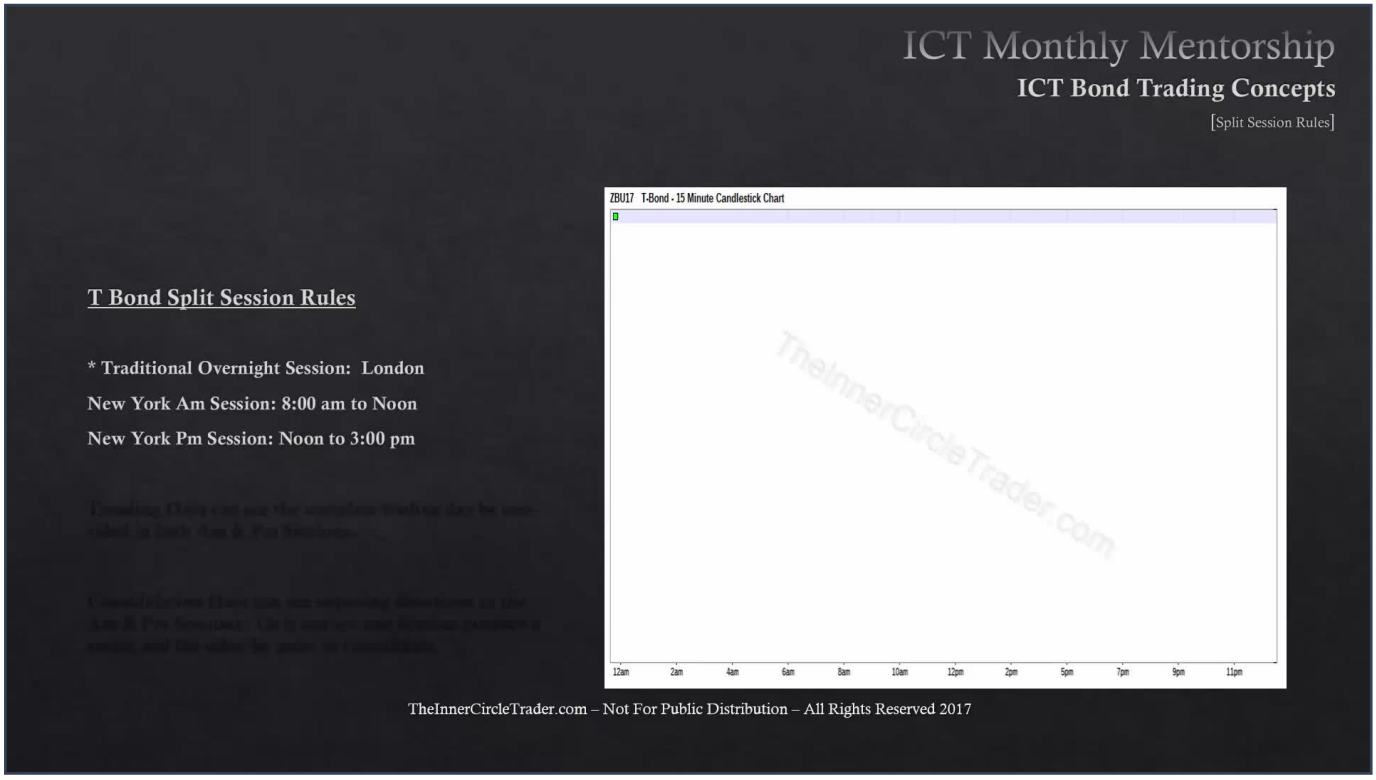
Focus primarily on trading the New York session.



As mentioned in the previous lesson (Bond Concepts), the largest volume is seen between 8 AM and 9 AM New York time, or generally before the equities open (between 8 AM and 9:30 AM New York time). This is the largest influx of purchasing and selling of treasury bond futures.

The AM session has a built-in advantage because it generally sees the largest volume of the day. This means it's generally going to form the higher low of the New York session, or the blending of, or total range of, the true day for treasury bonds.

The PM session generally will have a continuation or reversal, or it can see a consolidation. More often than not, you're going to see a move in the AM session.

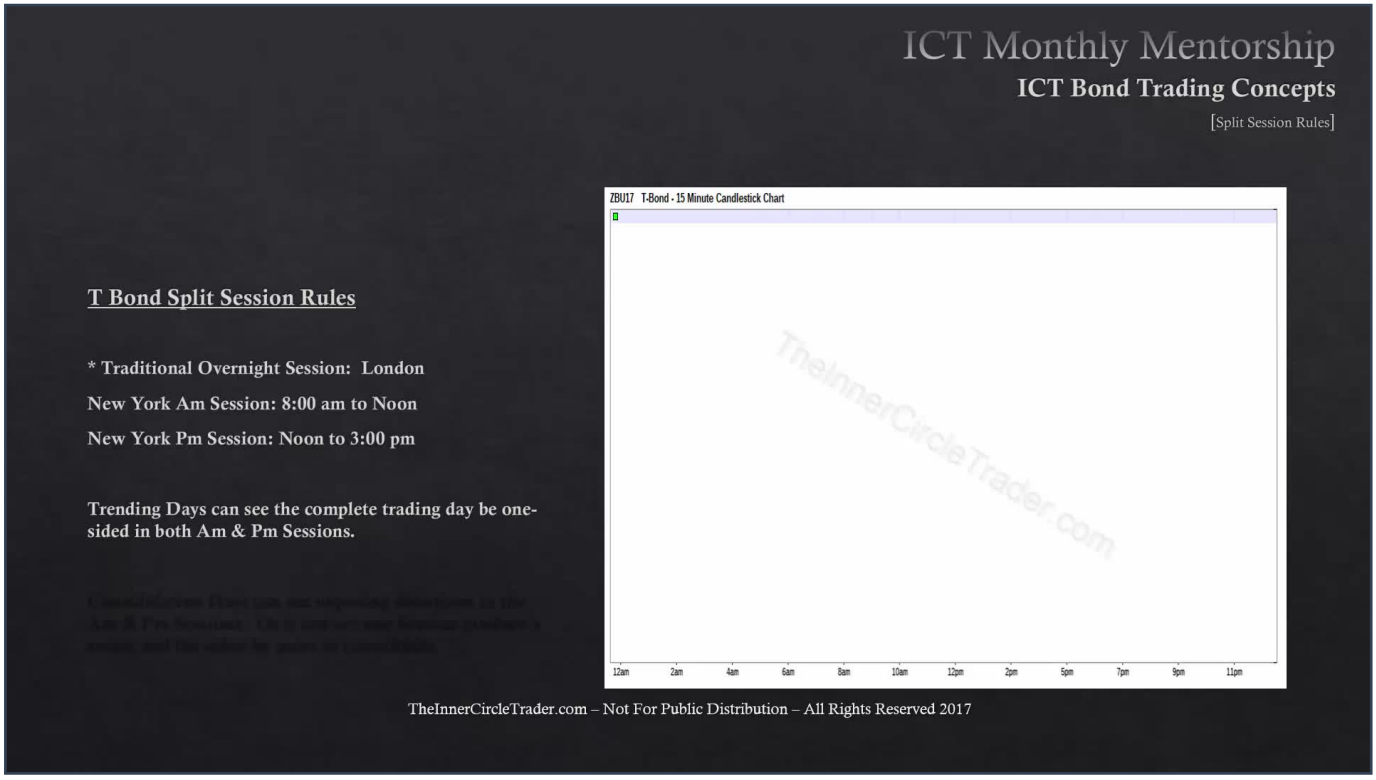


When I focused solely on commodities, I primarily focused on:

- AM Session: 8:20 AM to 11:00 AM (my 'Kill Zone' for e-mini S&P, S&P Futures, currencies, and bond market).

- PM Session: Noon to 3 PM (when I would push my luck or be a 'deviant').

Trending days can see the complete trading day be one-sided in both the AM and PM sessions. This means the opening around 8 AM or 8:20 AM New York time can create the low of the day, and price can trade all the way up to 3 PM, completely bullish through the AM and PM trend, creating the full daily range.

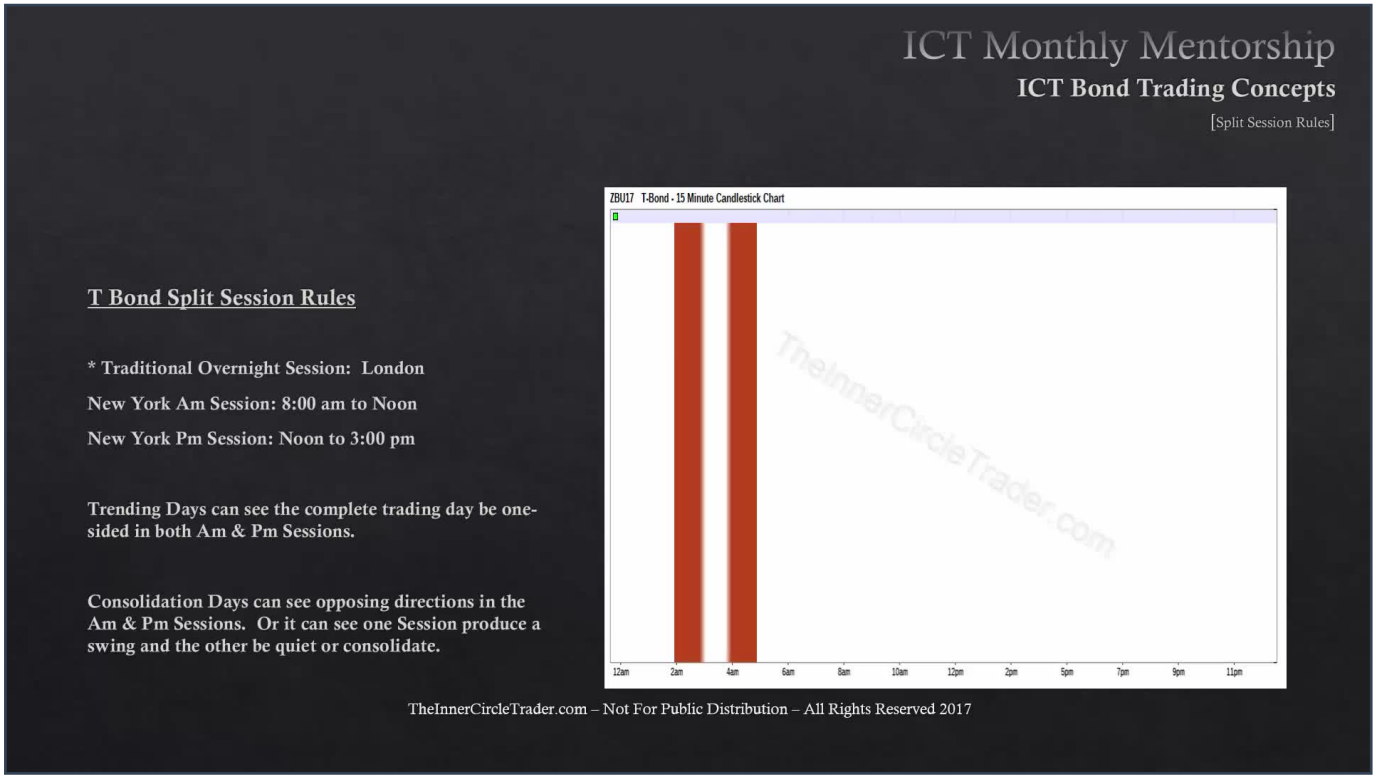


Trending days can also start with one of the sessions, for instance, the PM session. For example, with a late afternoon FOMC announcement, the bond market can be consolidated during the AM session and then go into a trending environment in the PM session. This can carry over into what we call a 'runner,' where the move continuously goes into the next trading session or the session after that.

Consolidation days can see:

- Opposing directions in the AM and PM sessions.

- One session producing a swing and the other being quiet or consolidating.



The traditional London session is from 2 AM to 5 AM New York time. When looking at price in terms of the bond market, we refer to what overnight price trading has seen between 2 AM and 5 AM. This will give us where to look for:

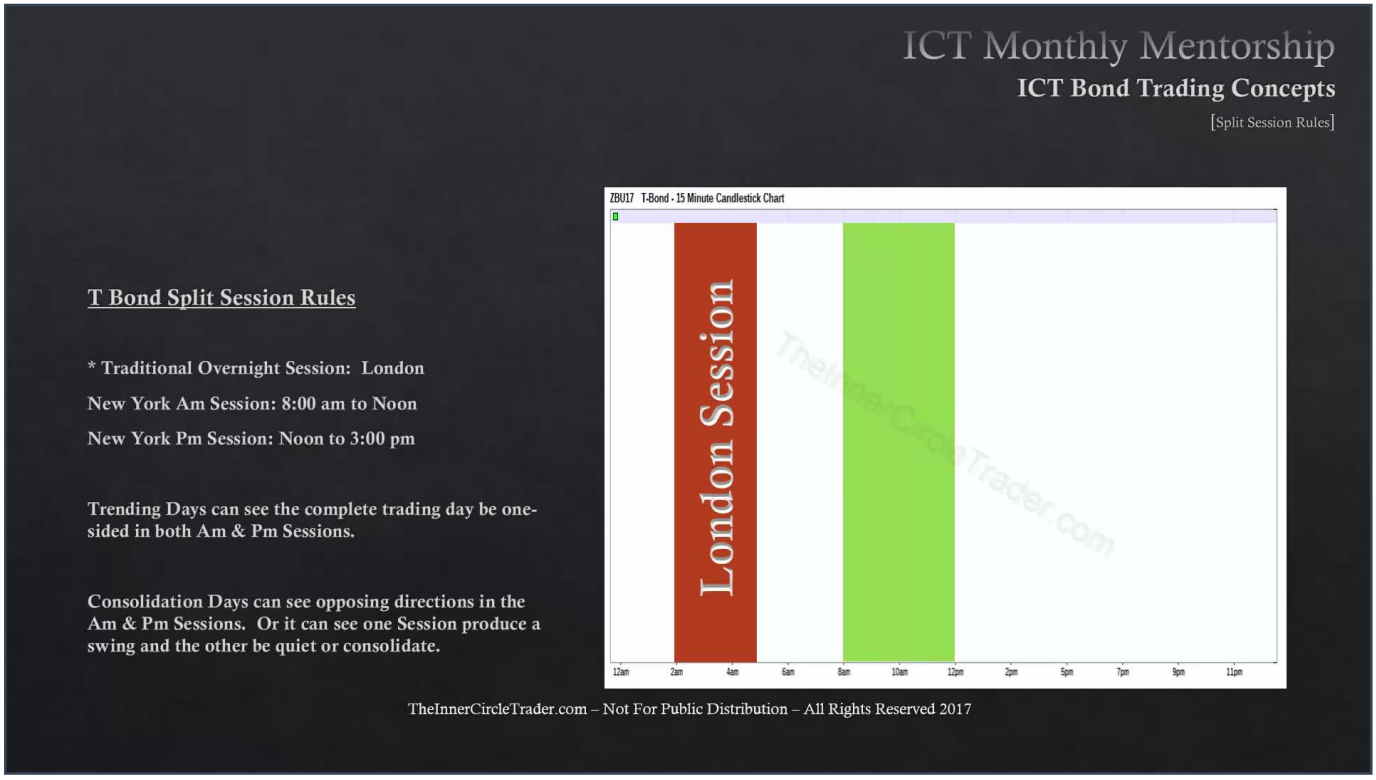
- Overnight stops

- Overnight liquidity voids

- Fair value gaps

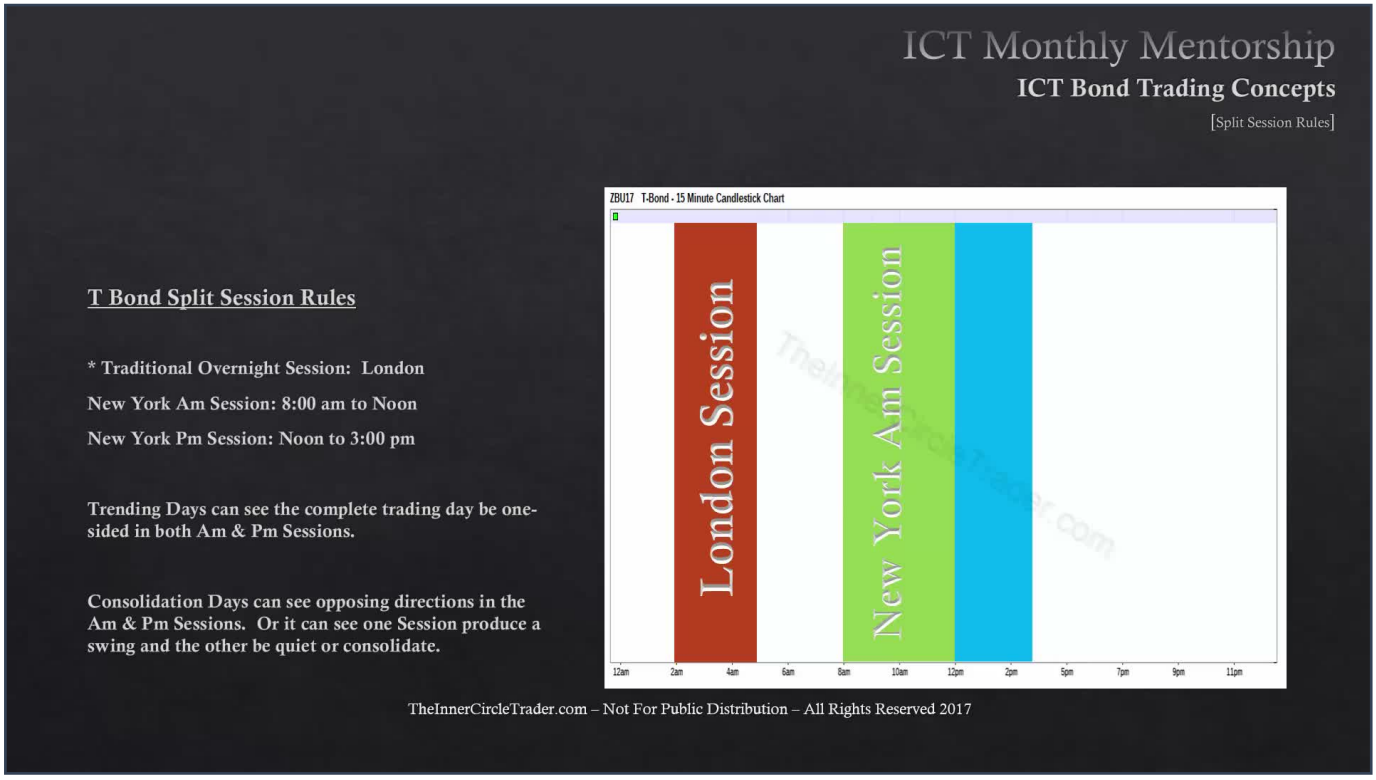
- Any measure of PD array we would normally use in the Foreign Exchange Market

While we are not actively trading the London session, and I don't imply that you should be trading it, we refer to it always between these two reference points (2 AM to 5 AM).



The AM session, or morning trend, is defined by 8 AM to Noon. Sometimes, the 8 AM to Noon session can end early around 11 AM, which is the traditional London close time period. London and European traders will be looking to close up shop, having made their money in the morning, and move to the sidelines. This doesn't mean the trading day has ended, but there will be a reduction in volume.

Many European and UK traders will stop trading for the day, leaving North American traders only. We are also encountering what is referred to as New York lunch, around 11 AM to 1 PM. So, while generally defined as ending at Noon, the AM session can end earlier around 11 AM. This is your New York session AM Trend or New York AM session.



The next portion of the daily range for bond trading is the New York PM session, seen by delineating 12 Noon New York time to 3 PM New York time. This is the New York PM session.

Generally, if you have a 'runner' (meaning the market made a significant higher low in the morning session), you can see follow-through with equal distant measured moves. Whatever usually happens in the morning session is generally seen in quicker terms or less time in the PM session.

If a large degree of the Average Daily Range (ADR) is fulfilled by the AM session, the PM session will be rather abbreviated. We can use this information: if the larger portion of the day has been fulfilled by the AM session, we can go flat before New York lunch and avoid trading the PM session altogether. Be happy with what you made and go home in the black.

EXAMPLE 1: BULLISH TRENDING DAY

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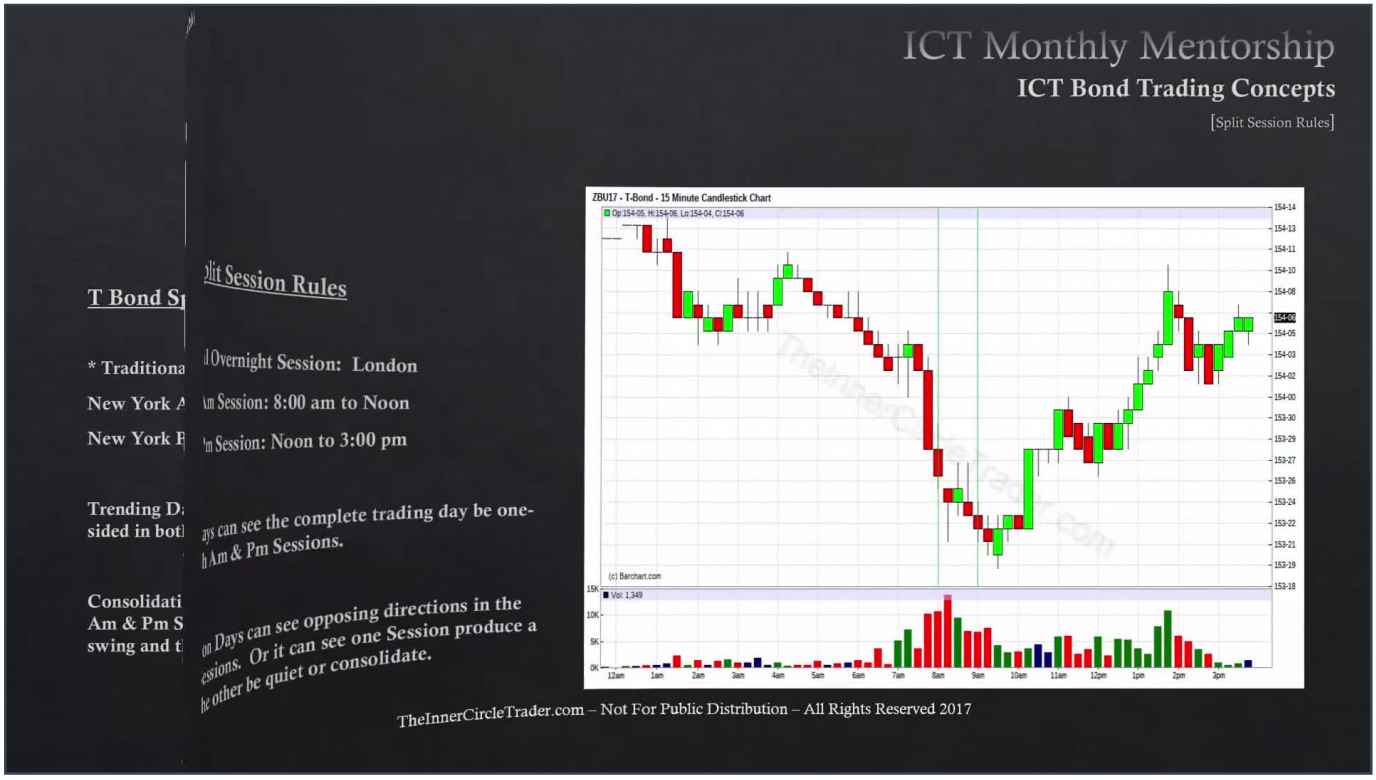

Let's review an example from the first lesson, defining price action by way of split session rules.

- London Session (2 AM - 5 AM): There was a London open trade here. Price traded back up, closed a fair value gap, and sold off going into the New York open (classically known in Forex).

- AM Session (8 AM - Noon): We apply bond rules, which is 8 AM to 9 AM for the opening range. We saw a subsequent lower move, the equities opening run, taking out that opening range low. This all occurred during the AM session for the morning trend.

- Price rallied up into the 11 o'clock hour as London and European traders squared positions and went home. A retracement took place, ending right down into Noon, which began the PM session.

- PM Session (Noon - 3 PM): This is the afternoon trend. Price made the high of the day ahead of 2 PM New York time and went into consolidation at 3 PM.

The daily range is defined by 8 AM. It was typically a bullish day. The down move was a Judas swing. Price rallied away, came back, found support at the opening range (around 153.27), and then rose again, making a high today ahead of 2 PM, before going into retracement and consolidation at 3 PM. This is a traditional Power of Three defined in terms of these split session rules for bonds.

EXAMPLE 2: MARKET REVERSAL PROFILE

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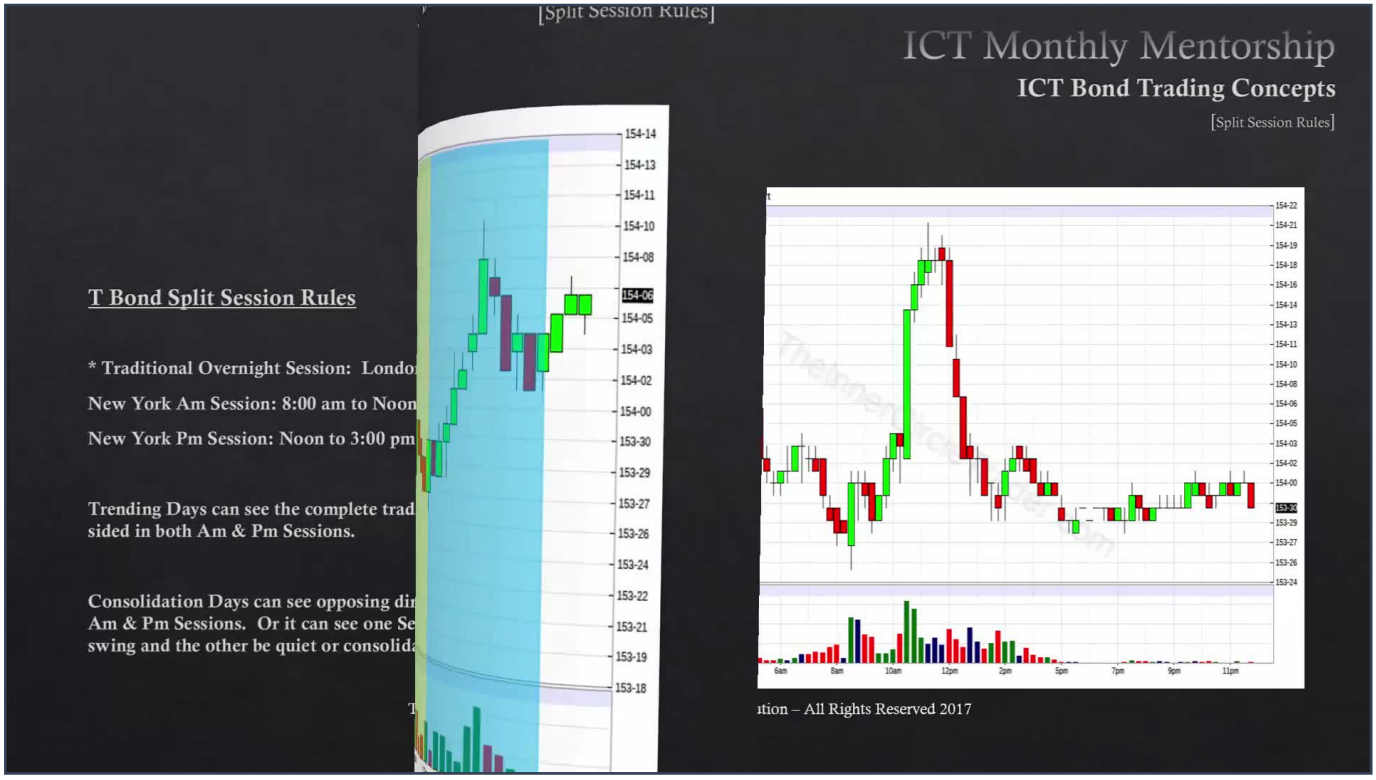
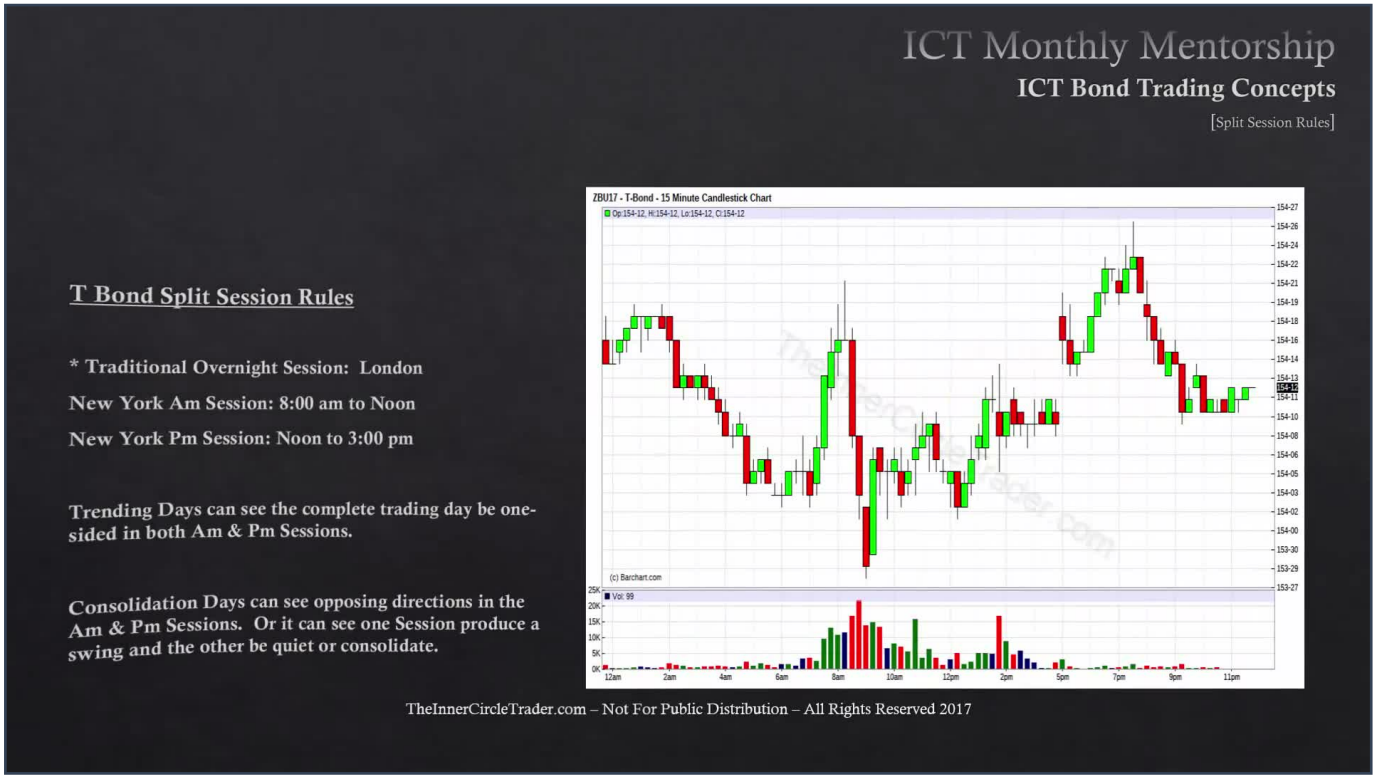


Here's another example from lesson one, defined with split session rules for your benefit.

- London Session: A price swing occurred in the London open. Price made a high, traded down into the 8 AM to 9 AM session, taking out the low formed in the London open.

- AM Session (8 AM - Noon): The AM session for the bond market traded down below the London session lows, creating a failure swing. It then moved into a bullish order block at the 153.29 level. Price went into expansion through the entire morning trend or AM session into Noon, where it created a market reversal profile.

- PM Session (Noon - 3 PM): A reversal took place, with the AM session going higher and the PM session going lower. Both offered opportunities: one for a buy and one for a sell. After 3 PM, price went into what we would classically see as a consolidation, as defined by the true day in Forex.

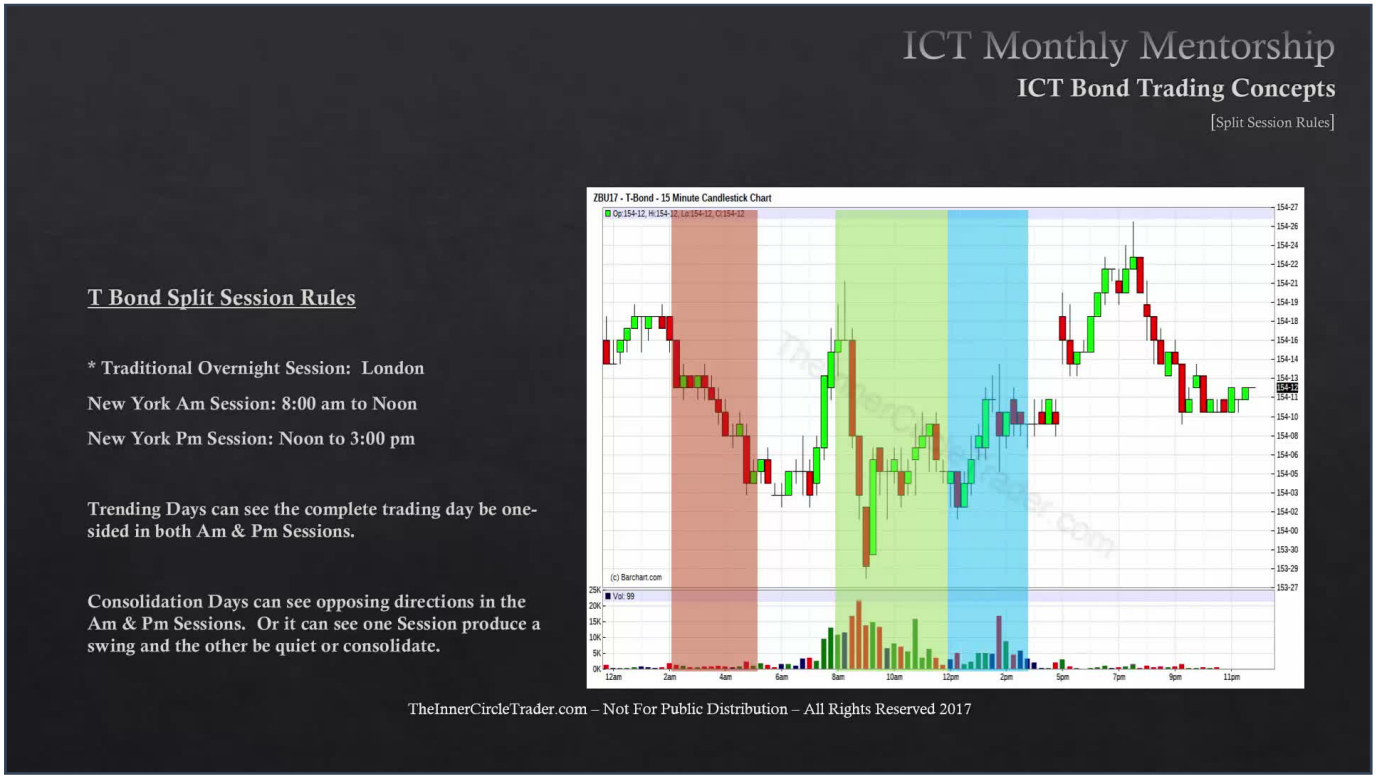


In this example:

- London Session: Price made a high in the 2 o'clock hour during the London session. Price traded down, then rallied up early at 7 AM (New York open Kill Zone in Forex), clearing out the equal highs around 154.19. Going into the 8 o'clock hour, price made that high, swept the London High, traded down aggressively, and blew out the lows formed in the London session and the early 7 o'clock low.

- AM Session (8 AM - Noon): Between 8 AM and 9 AM, price created the low of the day. During the AM session, price had a large opening range. When there's a large opening range, we look for retracement ideas or fair value ideas (bullish order blocks, fair value gaps) to be a buyer or seller. In this case, it was bullish because price traded down, took out the liquidity below the lows at 154.03, and ran the buy stops in the London highs. It swept both sides of the marketplace, but more specifically, it traded down, created the Judas swing, and then a Turtle Soup.

- Turtle Soup: This was a move below the 154.02 level in the opening range (8 AM to 9 AM New York time). That down-closed candle created a bullish order block at the 154.02 level, which was seen for the move taking place for the PM session or the afternoon trend. Price started to rally away.

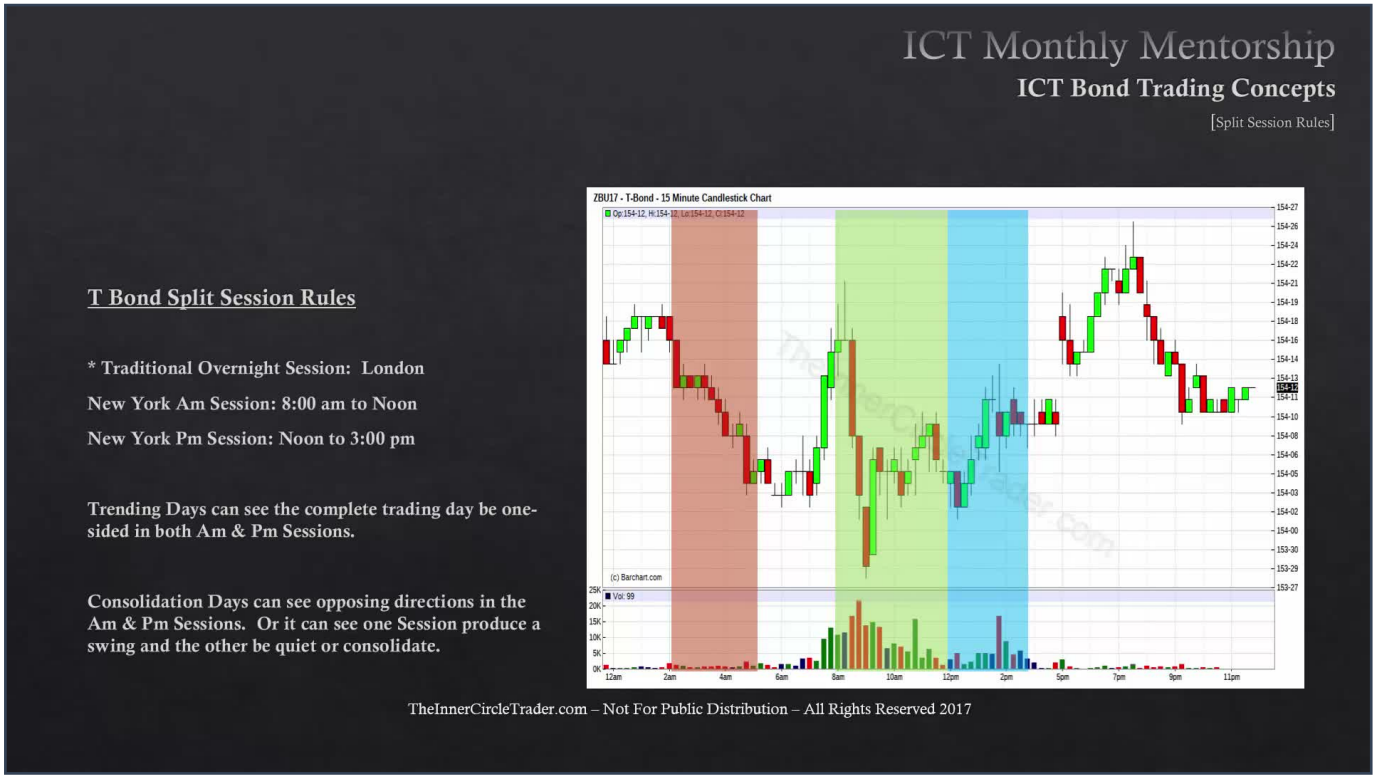


While the move might not look substantial, it doesn't require a lot for the bond to pay you. You have a bullish order block during the AM session or a Turtle Soup (either or).

- Turtle Soup Entry: A buy below 154.02, which is the 6 o'clock and 7 o'clock morning lows, or price trades back above 154.03 and then comes back down into the bullish order block for the PM session. You can take that trade.

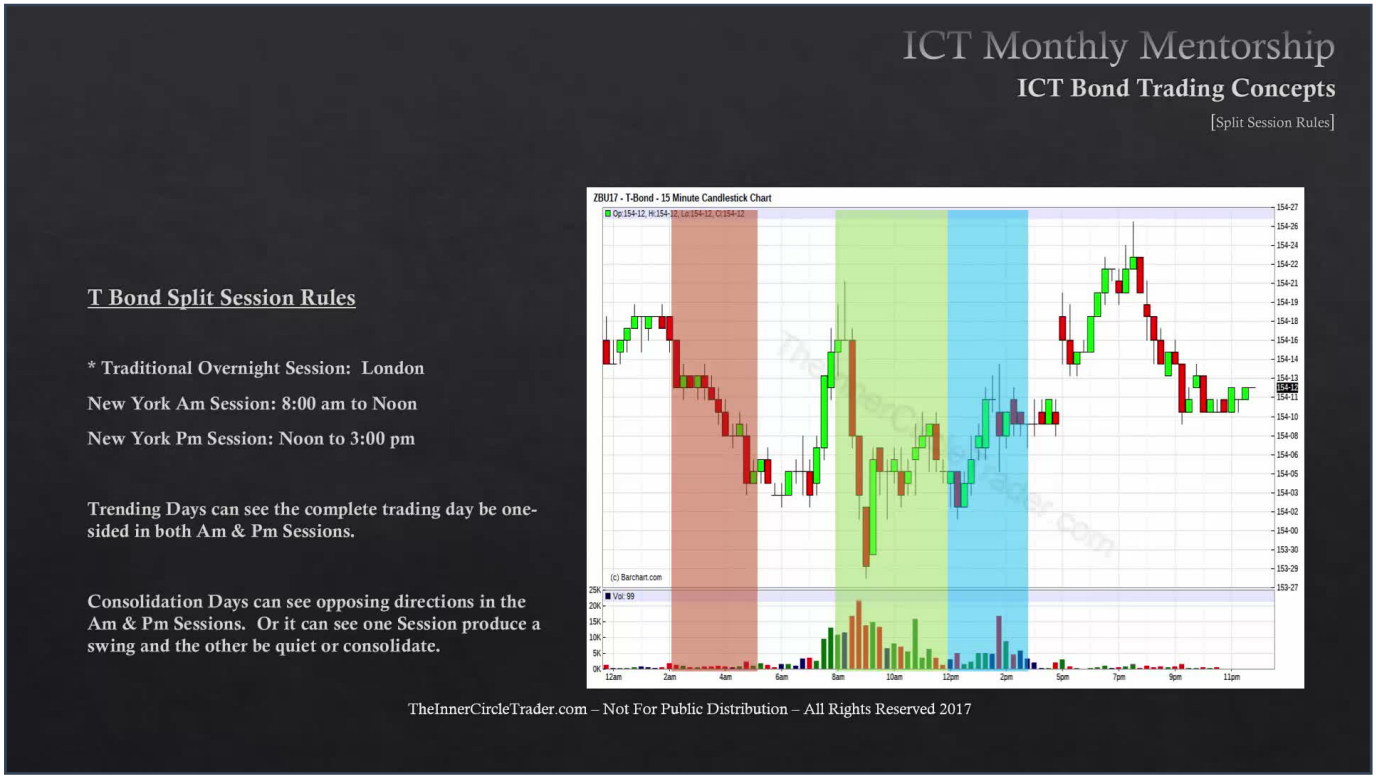
- AM Session Trade: During the AM session, price traded down into and filled the fair value gap at 154.03 into 154.02 ahead of the 10 o'clock hour (during the equities open). Price rallied from 154.02 all the way up into 154.10, an 8-tick move. At $31.25 per contract, this would be your AM session move. You can find these trades several times a week if you are highly selective by what you're looking for and by time.

- PM Session/Runner Trade: The better trade was in the PM session. You can take portions off once the fair value gap is filled between the highs at 154.10 during the AM session and the last up-close candle during the 8 o'clock hour. That fair value gap closes in at 154.13. There's your profit. You would take profits in that position, seeing an 11-tick move from 154.02 to 154.13 for the PM session. If you left something on as a runner, you could have captured a little bit more move to run out the opening Range High at 154.21 later on in the evening during the Asian session.



By applying these ideas to price action, we define the bond market trading day using specific criteria. We are also including everything we've learned in terms of PD arrays, institutional order flow, and other time of day studies as it overlaps with Forex. You can see how there's a blending of how the markets work together; they still respect time.

By applying these concepts and thinking about how it dovetails nicely with foreign exchange, you'll start to see a synergy that takes place between the asset classes and how bonds influence other markets. You will appreciate this more by studying the bond market on a day-by-day basis and keeping a journal, as shown here.



So far, we've covered:

- The opening range concept.

- The basics of what makes bond market valuation in terms of its movement.

- The time of day that we like to study it.

- Specific generic terms of what type of moves take place at these times of day.

The next lesson will cover trading consolidation days and how we can look for small moves before we get to those trending days where there's a big, large range available. Until then, I wish good luck and good trading.